

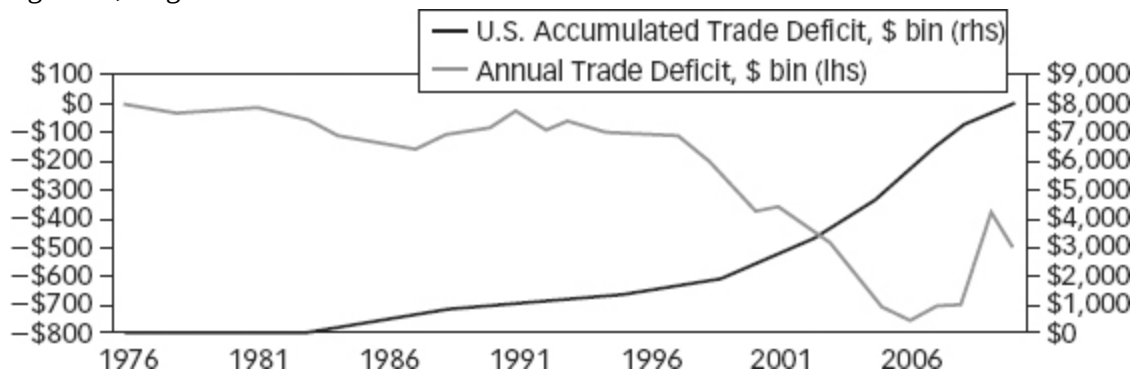
appeared at Long Beach Harbor laden to the gunwales with merchandise. They left riding high on the water—empty.

This resulting explosion of new dollars caused a worldwide boom. Much of the boom in the emerging markets in the 1990s and 2000s can be traced to this source. Not only were foreign factories running hot trying to keep up with demand from America but exporters were forced to print money of their own to keep up with the flood of dollars. They needed to redeem dollars from their own merchants and prevent their local currencies from rising too much. The higher the yuan or the yen rose, the less competitive were Chinese or Japanese products, respectively, to America's rapacious consumers.

What a system! The U.S. consumer spent money he didn't really have to buy goods (mostly from China and Japan) for which there was no genuine market. The local central bank took in the dollars—in exchange for local currencies—and lent them back to the U.S. Treasury! It was as if the money had never left home. As you can see in [Figure 6.1](#), since 1975, imports have exceeded exports every year.

[Figure 6.1](#) U.S. Trade Deficit

Source: Kevin Bambrough, "The Greatest Trade of All Time," *Markets at a Glance*, Sprott Asset Management, August 2011



But debt was building up.

A crude way of understanding this is to say that today there are 8 trillion more dollars in the world than there should be. And far more debt. But the United States was hardly alone. All the Organisation for Economic Co-operation and Development (OECD) nations have debt in excess of 250 percent GDP. Several—Britain, Japan, and the Netherlands—are twice that high.